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THE WAIL STREET

How easy money, relaxed regulation and skewed incentives triggered a financial tsunami



WHAT ARE THE ROOTS OF THIS CRISIS? It is always useful to start with the macroeconomic environment. In a sense, this is a crisis borne out of previous crises. Following the various emerging market crises in the late 1990s, emerging market governments became more circumspect and increased budgetary surpluses, even while cutting back on public investment.

Their corporations cut back on grand projects. And in 2001, following the collapse of the information technology bubble, industrial country corporations also cut back on investment. As the world recovered, corporate investment did not pick up, at least not to the extent warranted by the growth. The worldwide excess of desired savings over actual investment—the so-called savings glut—then pushed into the housing sector in industrial countries, lifting house prices and raising residential construction.

The US was not by any means the highest in terms of price growth. Housing prices have reached higher values relative to rent or incomes, in Ireland or the UK for example. Then why did the crisis first manifest itself in the US? That is because the US went further on financial innovation, thus drawing more marginal buyers into the market. Essentially, the US financial sector managed to package mortgages to low-credit quality buyers and issued highly rated securities against these packages that foreign investors were willing to buy. They were putting lipstick on a pig. And hindsight suggests these were still pigs.

The key to borrowers continuing to service their mortgages was rising house prices, for the cushion of home equity built by the price appreciation allowed home owners to refinance at lower cost, and gave them the incentive to continue servicing their mortgages. But once prices stopped rising, and indeed started falling, many borrowers began defaulting. More problematic, though, the securities issued against mortgage packages became horrendously complicated to value and fell dramatically in price.

WHAT IS THE PROXIMATE CAUSE? The immediate problem though, was that banks were holding on to these securities (partly because they got taken in by their own puff), and a number of firms like AIG had sold protection against their values falling. Financial institutions were sitting on large losses. Compounding the problem was the unprecedented leverage. Banks like Lehman Brothers borrowed \$35 for every dollar of equity. Low capital delivered better profits and therefore bonuses in good times, but left them with little cushion in bad times. Initially, the problem was simply liquidity. No one was willing to lend against mortgage-backed securities, and banks were unwilling to sell them at loss. The

Fed moved in, opening all kinds of facilities to lend to banks, including most recently, loans against illiquid mortgage-backed securities. The problem now is solvency. Too many banks are grossly undercapitalised, if not insolvent.

DO WE HAVE A FIX ON THE MAGNITUDE OF THE PROBLEM? The short answer is no. Although it is more than a year since the sub-prime problem hit the headlines, it is not over by a long stretch. A whole lot of unwise loans were made when financial conditions were benevolent, and everyone looked credit-worthy. As Warren Buffet says, it is only when the tide goes out that you see who has been swimming naked.

We are now caught in a downward contagious spiral. As banks find holes in their books, their valuation plummets, funding is hard to come by, and they in turn contract the credit they would otherwise extend. As I write this, banks have virtually stopped lending to each other. This drags other banks and companies into the downward spiral, and will exacerbate the economic downturn. A downturn could trigger loss of jobs, further eroding property values, triggering a new series of mortgage defaults. Add to this the fear of defaults on credit cards, student loans, car loans, and of course, corporate loans. From excessive complacency we have reached a situation of extreme pessimism and risk aversion.

HOW IS IT THAT NOBODY SAW IT COMING? It is not entirely true that people didn't see this coming. The Bank of International



DOOMSDAY: From excessive exuberance to extreme pessimism